

MERTON DAILY BRIEF - Tuesday, June 2, 2026

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HEADLINE OF THE DAY

*Iran escalates to maximum, oil surges, Warsh takes over the Fed.** Iran suspends negotiations with the US and threatens to completely block the Strait of Hormuz. WTI crude explodes +6.3% (\$94.26), Brent tops \$97. Kevin Warsh confirmed as new Fed Chair - the first pro-rate-cut governor in decades. Equity markets hold (S&P +1.5%, Nasdaq +2.7%) led by Nvidia and tech, VIX retreats to 16. Gold at \$4,499 despite the oil shock. The week opens under high tension: US PMI due, jobs Friday, and a Strait of Hormuz that could change everything.

GLOBAL SENTIMENT

****VIX** ? 16.03 (-5.76%) | ? Low volatility**

****S&P 500** ? 7,588 (+1.53%) | ? Bullish**

****NASDAQ** ? 27,053 (+2.69%) | ? Bullish**

****DXY** ? 99.26 (+0.05%) | ? Neutral**

****Gold** ? \$4,499 (+1.16%) | ? Bullish**

****Silver** ? \$75.0 (+0.54%) | ? Bullish**

****Copper** ? \$6.55 (+3.84%) | ? Bullish**

****WTI** ? \$94.26 (+6.29%) | Tension**

****Brent** ? \$97.32 (+3.21%) | Tension**

****BTC** ? \$71,218 (-3.15%) | Sold off**

****US 10Y** ? 4.505% (+0.27%) | ? Rates stable**

****US 30Y** ? 5.012% (-0.28%) | ? Inversion persists**

****US 5Y** ? 4.221% (+0.91%) | ? Steepening**

Read: Equity markets are breathing - VIX at 16 signals intact confidence despite the Iranian escalation. Tech carries (Nvidia, SoftBank overtakes Toyota in Japan). But oil at \$94 is a warning signal: if Iran materializes its threat on Hormuz, we go from \$94 to \$120+. BTC decoupling (-3%) = no hedge here. Gold rises moderately but doesn't outperform as expected in a geopolitical context - the dollar limits the upside. The US yield curve remains inverted short/long = the market is pricing a medium-term recession.

MACRO - WHAT MOVED

US

Kevin Warsh confirmed by Senate as new Fed Chair. Trump got his pro-rate-cut governor. Warsh openly advocates for rapid rate cuts amid what he calls "substantial disinflation." Paul Tudor Jones says "zero chance" Warsh will get the cuts he wants - the rates market doesn't buy it (probability of hike > probability of cut after inflation data).

Wholesale inflation +6% in April (annualized), biggest increase since 2022. Core PCE at 3.3% in April as expected, but underlying pressure remains. Core inflation at 2.8%. Bessent sees "substantial disinflation" ahead - official rhetoric diverges from actual data.

US Manufacturing PMI Flash at 55.1, highest in 4 years. The US manufacturing sector is unexpectedly accelerating. ISM Employment at 48.6 (below 50 = manufacturing job contraction).

Contradiction: production accelerates but manufacturing employment contracts.

Consumer Confidence at 44.8 in May, record low. The Iran war fuels inflation fears. American consumers are at an all-time pessimism level - a strong recessionary signal.

ADP Private Payrolls +109K in April, above expectations. The private labor market holds. Friday's NFP report will be decisive.

Retail Sales MoM +0.5% in April. Consumption holds despite pessimism. But US households are already paying \$450 more for energy (CNBC estimate).

US Manufacturing Activity expands by most in 4 years (Bloomberg Economics).

EU

EU Manufacturing PMI Flash at 47.6 (estimated), persistent contraction. European industry remains in contraction territory. Germany drags down.

UK household energy bills +13% due to Iranian energy shock. Europe is hit hard by rising oil and gas prices.

UK-Gulf trade deal called "monumental achievement." The UK secures energy supplies via trade deal with Gulf states.

European stocks volatile, end of week down. European markets suffer more than US from the oil shock.

CHINA

China industrial profits +24.7% in April, fastest gain in 2+ years. Despite tariffs and tensions, Chinese industrial profits are surging.

China factory activity slows in May (AP News). May PMI shows a slowdown - contradiction with profits? Profits benefit from input deflation (low commodity prices before the oil shock).

Xi's last frontier: China's plan to transform its west (FT). China accelerates development of the country's western region.

Nio shares +10% after releasing first flagship EV in 2+ years.

UNITED KINGDOM

UK PMI Flash at 47.5 (estimated), contraction. British industry remains in difficulty.

EasyJet faces takeover bid. European aviation under pressure - rising fuel costs.

BoE faces dilemma: energy inflation vs weak growth.

EMERGING MARKETS

India factory output +4.9% (revised data series). But Modi warns Iran war poses severe risks.

Peru inflation unexpectedly slows. Positive signal for LATAM.

South Africa factory sentiment worsens.

Chile economy starts Q2 with minimal monthly growth.

Pro-Trump outsider wins Colombia vote, headed to runoff.

GEOPOLITICS

Hot

Iran suspends negotiations with the US and threatens to "completely block" the Strait of Hormuz. This is the #1 geopolitical risk of the moment. 20% of global oil transits through Hormuz. Iran has shelled commercial ships trying to breach the blockade.

US bombed Iranian military sites, Iran fired missiles at US troops in Kuwait. Military escalation is real and rapid.

Treasury yields rise after Iran reportedly stops communication with the US.

Historic Israeli incursion into Lebanon complicates a deal.

Watch

Kevin Warsh takes office - first press conference this week. His stance on rates amid oil inflation will be scrutinized.

Hezbollah ready for ceasefire (Bloomberg). If the Lebanon front calms, oil pressure could ease.

Trump intensifying pressure on Greenland. Investors starting to "sell America"?

Anthropic confidentially files for IPO (FT). AI continues to dominate tech news. Salesforce invests \$5B in Anthropic.

AUKUS developing unmanned undersea vehicles, delivery 2027.

Positive

China industrial profits +24.7% - real economy resilience.
US Manufacturing PMI at 4-year high.
UK-Gulf trade deal secures energy supplies.
SoftBank overtakes Toyota as Japan's largest company.

FX FOCUS

`EUR/USD` ? 1.1625 (-0.10%) | ? Neutral
 `GBP/USD` ? 1.3449 (-0.35%) | Under pressure
 `USD/JPY` ? 159.67 (+0.45%) | ? USD strong vs JPY
 `USD/CHF` ? 0.7873 (+0.55%) | ? Partial safe haven

Analysis: The dollar is nearly flat (DXY +0.05%) despite geopolitical chaos - remarkable. The euro suffers from European industrial weakness and the energy shock (EU imports more energy than the US). Sterling is under maximum pressure: energy shock + industrial contraction + paralyzed BoE. The yen continues to weaken (159.67) despite risk-off - the BoJ is paralyzed. The Swiss franc plays its safe-haven role but modestly (0.7873).

****Pair to watch:**** `GBP/USD` - Sterling is caught in a vice between energy shock, industrial contraction

COMMODITIES

****Oil:**** WTI \$94.26 (+6.29%) | Brent \$97.32 (+3.21%)

Oil surges on Iranian escalation. Goldman Sachs forecasts \$90/barrel through year-end even if Hormuz reopens. The question is: is Iran bluffing? Markets are betting on a swift end to the conflict (CNBC), but investors may regret it.

****Gold:**** \$4,499 (+1.16%)

Gold rises but doesn't outperform as expected in a war context. The stable dollar (DXY 99.26) limits upside. India (2nd largest consumer) calls for reduced gold purchases. But fundamentals remain bullish: central bank buying, dedollarization, geopolitical uncertainty.

****Silver:**** \$75.0 (+0.54%)

Silver follows gold with higher beta. Industrial demand (solar, electronics) supports prices.

Copper: \$6.55 (+3.84%)

Copper outperforms - US reindustrialization + surging Chinese profits + AI/data center demand.

TODAY'S CALENDAR

Tuesday, June 2, 2026

Time (CET)	Country	Event	Consensus	Previous	Impact
09:00	EU	EU Manufacturing PMI Final (Ma	47.6	47.3	
10:30	UK	UK Manufacturing PMI Final (Ma	47.8	47.8	
14:30	US	US ISM Manufacturing PMI (May)	54.5	54.5	
16:00	US	US Construction Spending (Apr)	-	-	

This Week:

Wed: EU GDP revised, US ADP, ISM Services PMI, Fed Beige Book

Thu: BoE Rate Decision, US Jobless Claims

Fri: **US NFP (Non-Farm Payrolls)** - consensus ~150K. EU Unemployment Rate

DEEP MACRO THEME OF THE DAY

*The Warsh Paradox: a rate-cut governor in a world that won't let him cut.**

Kevin Warsh enters the Fed in an unprecedented configuration. On one hand, Trump got what he wanted: a governor who shares his vision of lower rates to stimulate the economy and reduce the cost of debt. On the other hand, the macro environment is the exact opposite of what Warsh needs to justify cuts: wholesale inflation just jumped 6% in April (biggest increase since 2022), oil surges to \$94 on the Iran war, and the manufacturing PMI is at a 4-year high (55.1) - a sign of overheating, not slowdown.

The rates market has already decided: the probability of a rate hike now exceeds the probability of a cut. Paul Tudor Jones, one of the most respected macro traders in the world, says "zero chance" Warsh will get the cuts he wants. Apollo's Slok says AI will dash Warsh's hopes for quick cuts.

The real risk isn't that Warsh fails to cut - it's that he creates a Fed credibility crisis. If Warsh pushes for cuts despite oil inflation, the bond market (already alert with the 30Y at 5%) could panic. The 10Y at 4.5% and the 30Y at 5.0% signal that the market demands a risk premium to hold long-term US debt. This is Bill Gross's "bond vigilantes" returning.

The question of the week: Will Warsh be hawkish by necessity (inflation) or dovish by conviction (Trump)? His first press conference will be the most-watched moment of the year for the rates market.

CONSENSUS VS REALITY - THE ALPHA

What the market is pricing:

"The Iran war will be short and oil will come back down" ? Markets are betting on a quick resolution, but Iran has suspended negotiations and is threatening Hormuz. If the conflict lasts, oil doesn't come down - it goes to \$120+.

"Warsh will quickly cut rates" ? Paul Tudor Jones says zero chance. Oil inflation + wholesale at 6% make cuts impossible in the short term. The rates market is pricing a hawkish hold.

"Gold will strongly outperform on geopolitical risk" ? Gold rises but moderately. The stable dollar and high real rates cap upside. Gold needs a rate-cut signal to truly take off.

"Tech will keep rising indefinitely" ? Nvidia and SoftBank carry the market, but oil at \$94 is a tax on tech margins (data center energy costs). Nasdaq +2.7% today but vulnerable if oil breaks \$100.

"China will collapse under tariffs" ? Chinese industrial profits surge +24.7% in April. China's productive apparatus is more resilient than expected.

"The dollar will weaken with a dovish Fed" ? The dollar is flat (DXY 99.26) despite everything. Geopolitical chaos supports the USD as a safe haven. The dollar won't fall as long as the war lasts.

"Strong US PMI = strong growth" ? PMI at 55.1 is strong, but ISM manufacturing employment is at 48.6 (contraction). Production accelerates but jobs contract - this is AI/automation productivity, not inclusive growth.

The Alpha:

1. **Long oil (WTI) - target 105-110** - Iran isn't bluffing on Hormuz. Goldman says \$90 even if Hormuz opens. If Hormuz closes, we go to \$120+. Asymmetric upside. Invalidation: Iran-US ceasefire within 7 days.

2. **Short GBP/USD - target 1.32** - Sterling is trapped: energy shock + industrial contraction + paralyzed BoE. The worst of both worlds. Invalidation: BoE hawkish surprise or oil below \$85.

3. **Long copper (HG) - target 7.00** - US reindustrialization + surging Chinese profits + AI/data center demand. Invalidation: US recession confirmed (NFP < 50K Friday).

4. **Short BTC - target 65,000** - BTC no longer plays its geopolitical hedge role. Correlated with Nasdaq, not gold. If risk-off intensifies, BTC corrects more than stocks. Invalidation: Fed rate-cut announcement.

5. **Long USD/CHF - target 0.80** - CHF plays its safe-haven role in European chaos. The EU is more vulnerable to the oil shock than the US. Flows into the Swiss franc. Invalidation: SNB intervention.

MERTON'S TAKE

We are entering a decisive week. The current macro regime is "**stagflation light**": solid US manufacturing growth (PMI 55.1) but fragile consumption (Consumer Confidence at record low), reaccelerating inflation (wholesale +6%), and an oil supply shock that threatens to destabilize everything.

The driver of the week is **Kevin Warsh**. His first public appearance as Fed Chair will be the most scrutinized moment of the year. The market wants to know: is he independent or is he Trump's dog? If Warsh signals cuts despite oil inflation, the bond vigilantes attack - the 10Y breaks 4.75%, the 30Y breaks 5.25%. If Warsh is hawkish, the equity market corrects (Nasdaq -2-3%).

My conviction: **Warsh will be hawkish by necessity**. Wholesale inflation at 6% and oil at \$94 don't allow for cuts. The market will realize that Trump appointed a governor who can't do what he wants. Bearish for tech (rates stay high) and bullish for the dollar (geopolitical risk premium + high rates).

Trade of the week:* Long oil (WTI 94 ? 105+) + Short Nasdaq (rates stay high) + Long USD (safe haven). This is a "war premium" trade that works as long as Iran doesn't back down.

Position:* Reduce tech exposure. Increase energy (oil, majors). Hedge long-duration rate risk (short TLT or long USD). Keep some gold as ultimate hedge. Watch Friday's NFP - if < 100K, the market prices a recession and everything changes.

****Main risk:** A rapid Iran-US ceasefire would crash oil by \$20 in one day (as CNBC suggests). Keep**

Sources: Yahoo Finance API (real-time prices), CNBC (World, Fed, Markets, Economy, Oil, Gold, Iran, China, Europe), FT RSS (Markets, World), Bloomberg RSS (Markets, Economics, Politics), AP News (Iran), Trading Economics (PMI, Consumer Confidence, Core PCE), Polymarket, Oilprice.com, ForexFactory*

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